

Voice-over-cable telephony services are provided over a dedicated DOCSIS network. Our offerings ensure a high quality of service by including network redundancy as well as network and customer premise backup powering. Our cable telephony service includes a rich set of features, such as TV Call Display, three-way calling and Home & Away™ voicemail that allows customers to be notified of and listen to their voicemail over MMS or the Web. In addition, we offer a wireless alternative to a fixed-line service.

COMPETITION

Cable television competes:

- increasingly with alternative, Canadian multi-channel Broadcasting Distribution Undertakings (BDUs), including Bell TV, Shaw Direct, satellite TV services, and Internet Protocol television
- with over-the-air local and regional broadcast television signals received directly through antennas, and the illegal reception of US direct broadcast satellite services
- with television shows and movies streaming over the Internet through providers like Netflix and Apple TV.

Cable Internet competes with other ISPs that offer residential and commercial dial-up and high-speed Internet access services. Rogers Hi-Speed Internet services compete directly with:

- Bell's DSL Internet service in Ontario
- Bell Aliant's DSL/fibre and FTTH Internet services in New Brunswick and Newfoundland
- various resellers using wholesale telco DSL and cable Third Party Internet Access (TPIA) services in local markets.

Cable telephony competes with:

- Bell's wireline phone service in Ontario
- Bell Aliant's wireline phone service in New Brunswick and Newfoundland and Labrador
- ILEC local loop resellers (such as Primus) as well as VoIP service providers (such as Vonage and Skype) riding over the Internet access services of ISPs
- Wireless home phone products.

ACQUISITION

In January 2013, we announced a multi-part strategic transaction with Shaw to acquire Mountain Cable (Shaw's cable system in Hamilton, Ontario), and to secure an option to purchase Shaw's Advanced Wireless Services spectrum holdings in 2014. As part of the agreement, we sold our one-third equity interest in the TVtropolis specialty TV channel to Shaw. Mountain Cable provides cable television, Internet and telephony services to an area covering approximately 59,000 homes in and around Hamilton, Ontario. On May 1, 2013, we closed on a portion of the multi-part agreement with Shaw to buy 100% of Mountain Cable, and paid \$398 million, according to the terms of the agreement.

CABLE FINANCIAL RESULTS

	Years ended December 31		
(In millions of dollars, except percentages)	2013 ¹	2012	% Chg
Operating revenue			
Television	\$ 1,809	\$ 1,868	(3)
Internet	1,159	998	16
Phone	498	477	4
Service revenue	3,466	3,343	4
Equipment sales	9	15	(40)
Operating revenue – Cable	3,475	3,358	3
Operating expenses			
Cost of equipment	(6)	(20)	(70)
Other operating expenses	(1,751)	(1,733)	1
	(1,757)	(1,753)	–
Adjusted operating profit – Cable	\$ 1,718	\$ 1,605	7
Adjusted operating profit margin	49.4%	47.8%	
Additions to property, plant and equipment	1,105	832	33

¹ Results of operations include Mountain Cable's operating results as of May 1, 2013 (the date of acquisition).

CABLE SUBSCRIBER RESULTS ¹

	Years ended December 31		
(Subscriber statistics in thousands)	2013	2012	Chg
Cable homes passed	3,978	3,810	168
Television			
Net losses	(127)	(83)	(44)
Total television subscribers ²	2,127	2,214	(87)
Internet			
Net additions	63	73	(10)
Total Internet subscribers ²	1,961	1,864	97
Phone			
Net additions	42	23	19
Total phone subscribers ²	1,153	1,074	79
Total service units ^{2,3}			
Net additions (losses)	(22)	13	(35)
Total service units	5,241	5,152	89

¹ Subscriber count is a key performance indicator. See "Key Performance Indicators".

² On May 1, 2013, we acquired 40,000 television subscribers, 38,000 digital cable households, 34,000 cable high-speed Internet subscribers and 37,000 cable telephony lines from our acquisition of Mountain Cable. These subscribers are not included in net additions, but do appear in the ending total balance for December 31, 2013. The acquisition also increased homes passed by 59,000.

³ Includes television, Internet and phone subscribers.

CABLE SUBSCRIBER BREAKDOWN (IN THOUSANDS)

